Economics
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ISM Manufacturing Activity Holds Up as Uncertainty Rises

Economic Indicator

Economist(s)


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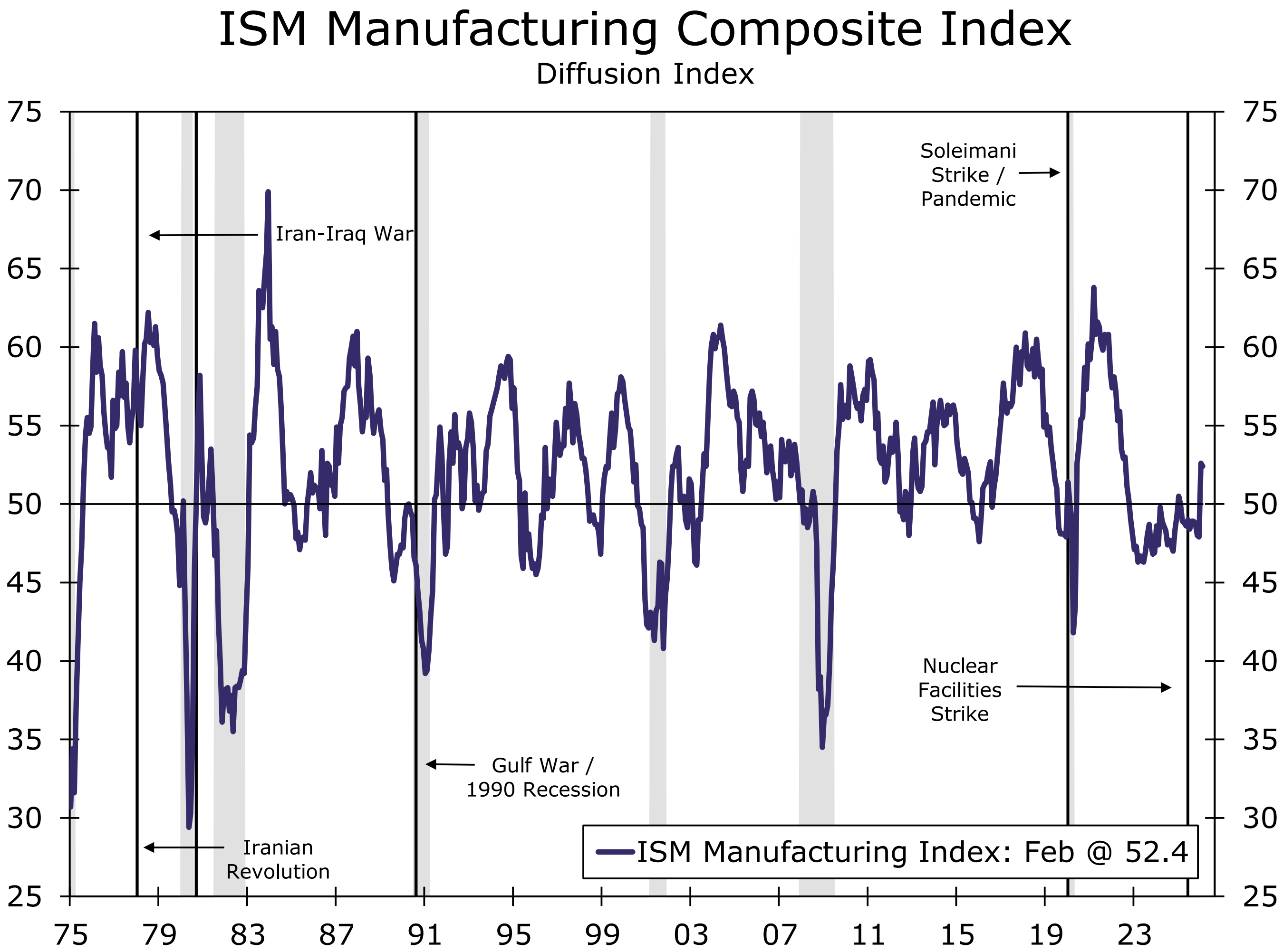
The market is primarily concerned with developments in the Middle East this morning. The latest ISM data for February edged down just 0.2 points to 52.4 but remained in expansion, supported by strength in new orders, production, and supplier deliveries, while employment and inventories—though still in contraction—improved enough to pose less of a drag on the headline.



Source: Institute for Supply Management and Wells Fargo Economics

Geopolitical Implications

Historically, spikes in geopolitical uncertainty or U.S. military activity tend to coincide with a near-term softening in business sentiment as firms delay orders, hiring, or investment decisions amid heightened uncertainty. That said, the effect is typically modest and short-lived, unless accompanied by sustained increases in energy prices, material supply disruptions, or tighter financial conditions.

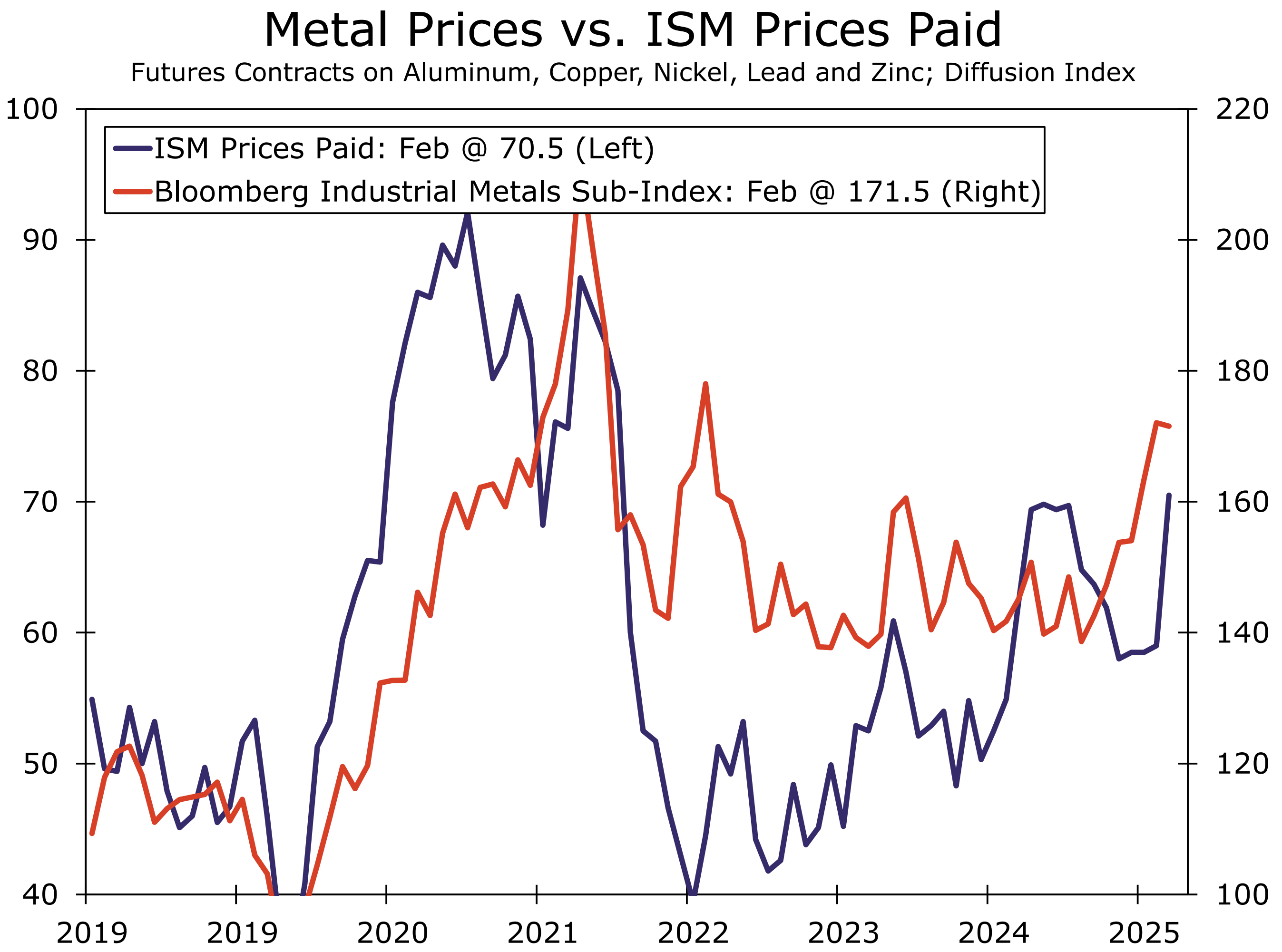
In prior episodes, the ISM has generally stabilized once uncertainty fades and firms gain clarity, suggesting that sentiment effects alone rarely translate into a durable downturn in manufacturing activity. As seen in the chart above, manufacturing activity is influenced much more by cyclical trends than Iranian-related geopolitical conflicts.

What's With the Spike in Prices Paid?

The Iran disruption comes just as manufacturing was beginning to stabilize. Today's second consecutive reading above 50 is consistent with a broadening in activity that we have been highlighting for a few months, but the recovery remains fragile.

The eye-catcher in today's report was the near-12 point jump in prices paid with a jump in the share of respondents reporting higher prices (~45%). The release noted, "The Prices Index reading continues to be driven by increases in steel and aluminum prices that impact the entire value chain, as well as tariffs applied to many imported goods." At 70.5 in February, the level is just above the peaks registered early last year amid the roll-out of tariffs, but remains lower than levels reached in 2021-22. The consumer inflation signal from this move is also muted when you consider that metal prices are a big source of input cost pressure for manufacturers (chart), but most households aren't buying lots of metals directly.

Recall too that the prices component does *not* feed into the headline ISM. The February ISM manufacturing index registered only a slight drop (just a 0.2 percentage point decline from January). Notably, the ISM index itself has just posted back-to-back expansionary readings for only the second time since 2022. This signals stabilization even if some of the main components remain stuck in contraction.

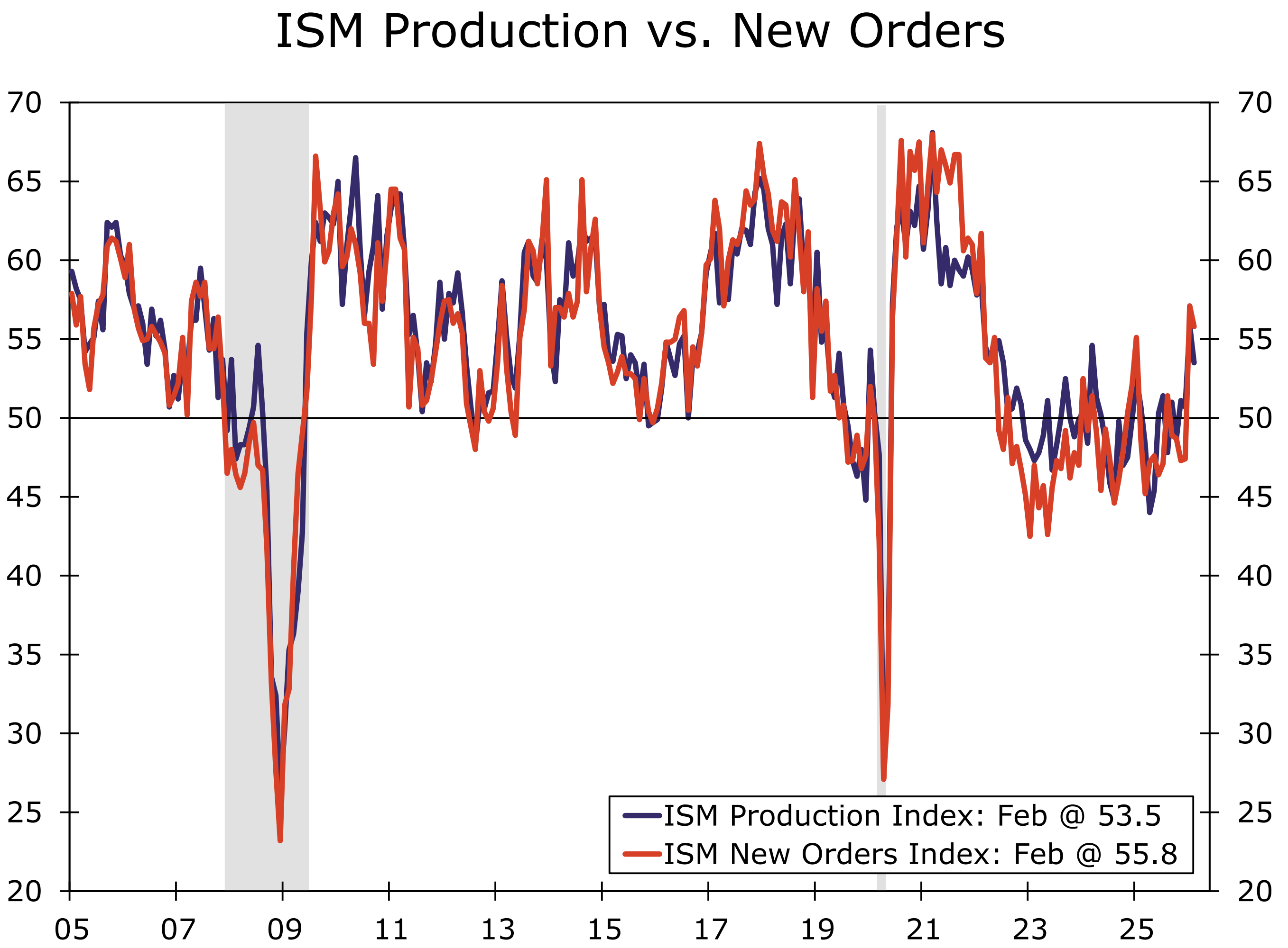


Source: Institute for Supply Management, Bloomberg Finance L.P. and Wells Fargo Economics

Of the components that do feed into the headline, three are firmly in expansion territory, led by new orders at 55.8, then followed by supplier deliveries at 55.1 and production 53.5. New orders and production both came down a bit from January (chart) and supplier deliveries rose. Take that with a grain of salt as this measure counts the wait-times and can be a bit of a head-fake during periods of supply chain disruption or trade policy uncertainty.

Employment and inventories are both still in contraction territory, but both notched modest gains from January and on that basis are less of a drag on the headline reading. Employment is now at 48.8 (up from 48.1 in January) and inventories is also at 48.8 (up from 47.6).

The employment component ultimately still indicates manufacturers remain cautious on hiring. Most respondents continue to report the same labor conditions month to month, and the report noted "The main head-count management strategies continue to be holding off on filing open positions," emphasizing the no-hire, no-fire jobs market today. When the full February employment report is released Friday, we anticipate the economy added around 45K net new jobs, a more moderate pace than what has been registered over the past three months.



Source: Institute for Supply Management and Wells Fargo Economics

A final thought related to the recent geopolitical pressure. A theme within capex in recent years has been how the tech sector has commanded a larger share of investment. Computer and electronic products facilities in particular have seen a steep rise in orders and activity, helping offset weakness in more traditional areas of capex. Much attention has appropriately been given to the Strait of Hormuz in the wake of this weekend's conflict, but it is useful to keep in mind that while this shipping lane is vital for global energy markets, it is less consequential when it comes to the flow of trade in technology. The Straight of Malacca is the primary passage for global electronics, advanced chips, critical minerals and other inputs predominantly sourced from Asia. For U.S. manufacturers, tech shipments from Asia cross the Pacific either directly to West Coast ports or routed through the Panama Canal to the East Cost. The negative effects to supply chains for high-tech capex should be limited.

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All estimates/forecasts are as of 3/2/2026 unless otherwise stated. 3/2/2026 11:26:46 EST.

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